INDEPENDENT INVESTMENT BANKING PROJECT



PEPSICO / CELSIUS

Hypothetical M&A Advisory & Transaction Modelling

A disciplined price limit outweighs modest EPS accretion

CELSIUS LIVE FIT | Alani Nu | ROCKSTAR ENERGY DRINK

Valuation: 31 August 2026
Project completed: 21 September 2026

Educational analysis. Neither company commissioned or endorsed this work.
No mandate or live transaction is implied. Photography: PepsiCo.

The illustrative premium does not create value

Base case: reject $39.31 per share and retain the existing relationship.

$39.31

Illustrative offer / 25.0% premium

1.4%

FY2028 EPS accretion

$-1,626.81m

Acquisition NPV

Decision metric	Base case	Implication
EPS ceiling / NPV ceiling	$54.02 / $32.85	NPV ceiling binds
Indicative discussion range	$29.56–$31.20	Below $31.45 unaffected price

Sources: S03, S14 | Model: Dashboard; Accretion D43:D54

Existing preferred securities shape the transaction

Acquire remaining common claims. Negotiate cancellation of PepsiCo's own preferred holdings.

$550m

Series A preferred face value

$585m

Series B preferred face value

11.5%

Fully converted ownership

Security / relationship	Verified position	Model treatment
Series A preferred	$550m face; $25 conversion	22.0m converted shares; 5% coupon
Series B preferred	$585m face; $51.75 conversion	11.3m converted shares; 5% coupon
Fully converted ownership	11.5%	No blanket ownership haircut
Distribution and governance	Expanded distribution; two board seats	Existing benefits remain standalone
Acquisition process	Standstill with specified exceptions	Counsel reviews private-proposal route

Sources: S03, S06, S07 | Model: Deal D11:D28; Assumptions

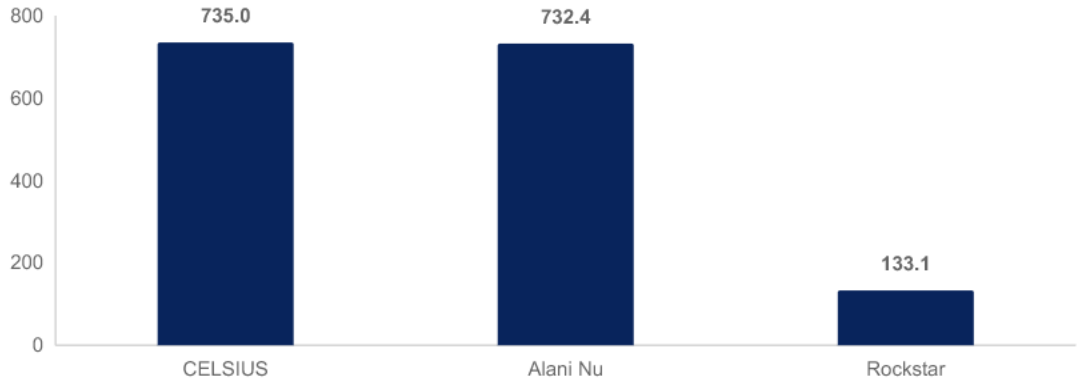
Celsius is now a broader energy platform

H1 2026 revenue includes Alani Nu and the acquired US/Canada Rockstar business.



Photo: PepsiCo, August 2025

$1,600.5m H1 reported revenue



One reported operating segment. Brand forecasts are analyst schedules, not disclosed segment profit.

2025 comparability is limited by acquisition timing and Rockstar gross-versus-net transition accounting.

Sources: S01, S03, S04 | Model: Operations brand schedules; History

Competitive comparisons require business-model context

Monster is the closest public comparator. Coke and PepsiCo provide broader valuation context.

Monster Beverage

Global energy platform
More established scale and profitability

Coca-Cola

Beverage brands and distribution
Franchise economics; affiliates and disposals

PepsiCo

Buyer and distribution partner
Large food exposure and different margins

Private energy brands

Relevant shelf competition
No reliable dated public valuation denominator

No unsupported market-share or category-growth estimate enters the valuation.

Sources: S10, S11, S12, S13, S08, S09 | Model: Comps

Ownership adds control, but distribution is already shared

Only incremental benefits beyond existing arrangements count as acquisition synergies.



PepsiCo Romania distribution facility. Photo: PepsiCo

Portfolio coordination

Reduce duplicated support functions
Savings apply to cash SG&A only

Revenue opportunities

New occasions and selected cross-selling
Incremental revenue × 30% contribution

Execution control

Align brand investment and planning
No automatic benefit from taking control

Integration burden

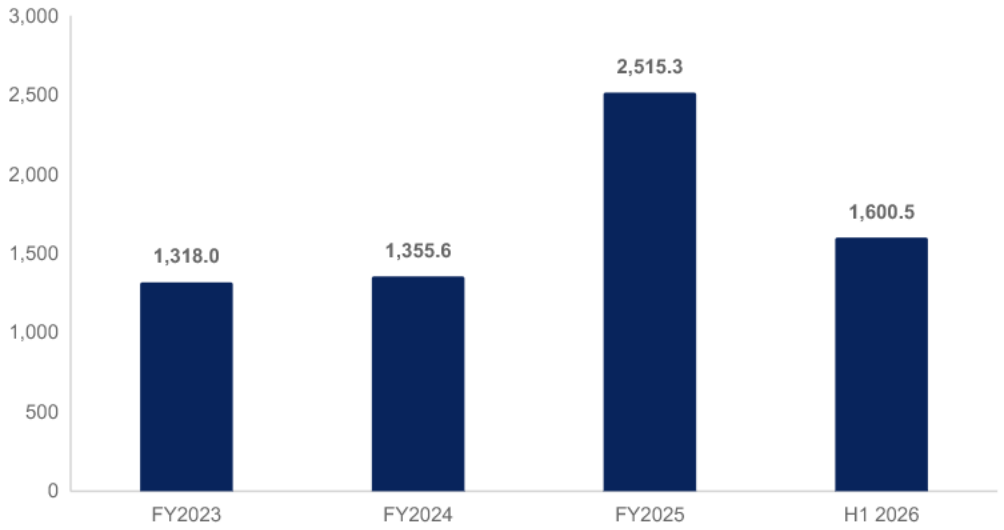
Retention, systems and disruption
$85m implementation expense over 3 years

Sources: S06, S07 | Model: Synergies; Assumptions

Reported growth masks major changes in perimeter

Normalised EBITDA retains stock-based compensation and removes identified one-off operating costs.

REPORTED REVENUE / USDm



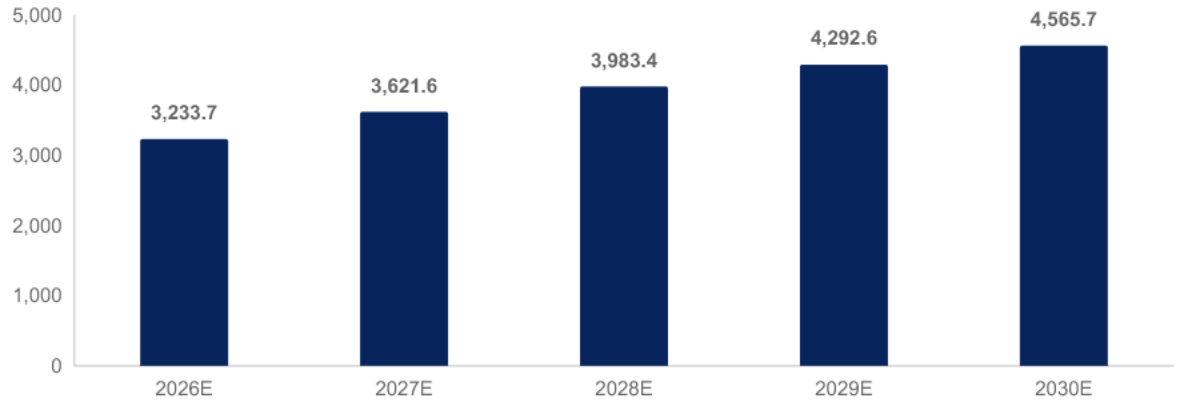
USDm	FY2023	FY2024	FY2025	H1 2026
Revenue	1,318.0	1,355.6	2,515.3	1,600.5
Reported net income	226.8	145.1	108.0	165.4
Reported CFO	141.2	262.9	359.4	296.3
Distributor termination	0.0	0.0	327.5	85.3
D&A	3.2	7.3	29.5	19.2

H1 normalised EBITDA: $350.9m, versus company adjusted EBITDA of $379.6m. Definitions differ, including SBC and non-operating adjustments.

Sources: S01, S02, S03, S04, S05 | Model: History; Operations

The base forecast depends on margin recovery

FY2026 combines reported H1 with a separate H2 forecast. All figures below are analyst estimates.



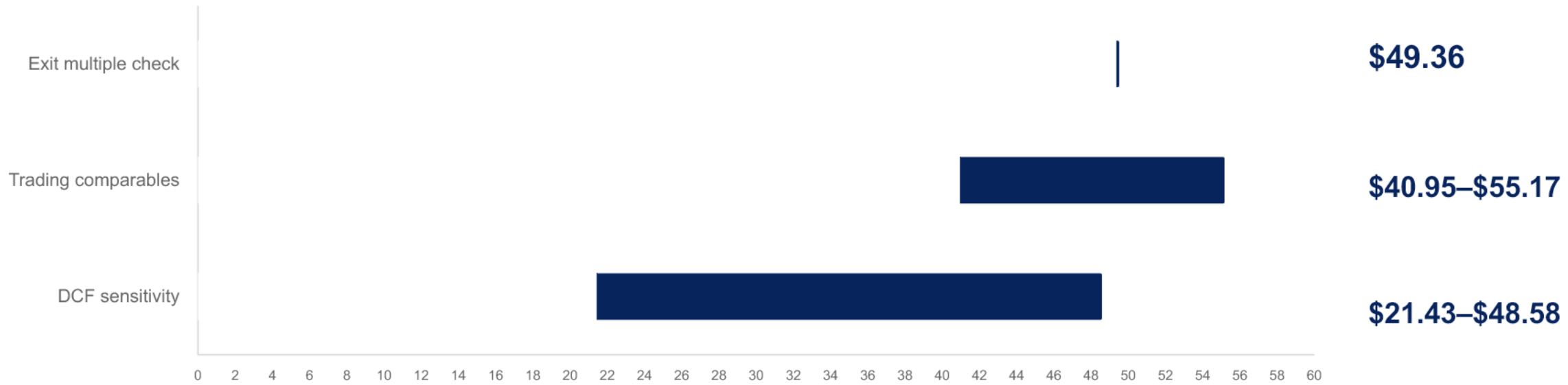
USDm	2026E	2027E	2028E	2029E	2030E
Revenue	3,234	3,622	3,983	4,293	4,566
EBITDA, SBC retained	580	834	960	1,081	1,162
Unlevered cash flow	342	563	651	744	798

2027–30 gross margin: 50.0% to 51.0%. Cash SG&A: 26.0% to 24.8% of revenue. Alani growth decelerates from 18% to 8%. CELSIUS growth decelerates from 8% to 5%. Working capital uses explicit days and sales ratios. Capex is 1.8% of revenue.

Sources: S03, S04 | Model: Operations I:M; Valuation I:M

Valuation methods point to a wide range

Common value / share. DCF range: WACC 8.5–12.5%, growth 1.5–3.5%.



DCF base $30.42 | Comps $40.95–$55.17 | 16.0x exit check $49.36

Precedents: no defensible common valuation range. Thin disclosed denominators preclude a mechanical average.

Sources: S01, S03, S10, S11, S12, S13, S14, S18 | Model: Valuation; Comps; Sensitivities

DCF value relies heavily on the terminal period

End-year discounting starts with a four-month stub after 31 August 2026.

75.8%

Terminal value / enterprise value

Long-run economics drive the valuation

Four-month stub, then end-year discounting.

DCF assumption / result	Base case	Interpretation
WACC / terminal growth	10.4% / 2.5%	Beta 1.2 and ERP 5.0% are assumptions
Enterprise value	$9,024.41m	Explicit cash flow + terminal value
Terminal value / EV	75.8%	High sensitivity to long-run economics
Cash / gross debt	$587.4m / $593.7m	August balances interpolate H2 movement
Common value / exit check	$30.42 / $49.36	Preferred claims allocated separately

Sources: S03, S18 | Model: Valuation D24:D50; Sensitivities D7:I12

Trading value exceeds the cash-flow valuation

Use historical LTM financials. No undated consensus forecasts enter the analysis.

USDm / multiple	Monster	Coca-Cola	PepsiCo
Enterprise value	85,759	410,844	234,219
LTM revenue	9,219	50,129	96,904
LTM EBITDA	2,809	15,888	17,961
EV / EBITDA	30.5x	25.9x	13.0x
EV / revenue	9.3x	8.2x	2.4x

Select 18–24x normalised CELH LTM EBITDA of $663.5m: $40.95–$55.17 per share. Discount to Monster reflects integration and forecast risk. This range is judgement, not a peer average.

Sources: S08, S09, S10, S11, S12, S13, S15, S16, S17 | Model: Comps D7:F43

Precedents provide context, not a precise price

Control deals and minority investments have different valuation meaning.

Transaction / year	Value and stake	Usable multiple / limitation
Alani Nu / 2025	$1.8bn headline; control	3.03x $595m revenue; 12.04x includes synergies[1]
Poppi / 2025	$1.95bn cash + $0.2bn contingent	No verified revenue denominator
Rockstar / 2020	$3.85bn + $0.7bn contingent tax value	No verified financial denominator
BODYARMOR / 2021	$5.6bn for remaining 85%	Retail sales are not net revenue
CELH preferred / 2022, 2025	$550m / $585m; minority securities	Not control acquisition multiples

[1] $1.65bn tax-adjusted value / $137m fully synergised EBITDA. Not comparable with standalone EBITDA.

Sources: S19, S20, S21, S22, S23, S24, S06 | Model: Precedents

Funding balances liquidity, debt and dilution

Illustrative structure: 20% cash, 60% new debt, 20% stock. Close assumed 1 January 2027.

Uses	USDm	Sources	USDm
Remaining common consideration	10,031.9	New debt	6,371.7
Target debt refinancing	391.6	PepsiCo cash	2,123.9
Transaction fees	100.3	PepsiCo stock	2,123.9
Financing fees	95.6	New shares issued (m)	15.1
Total uses	10,619.5	Total sources	10,619.5

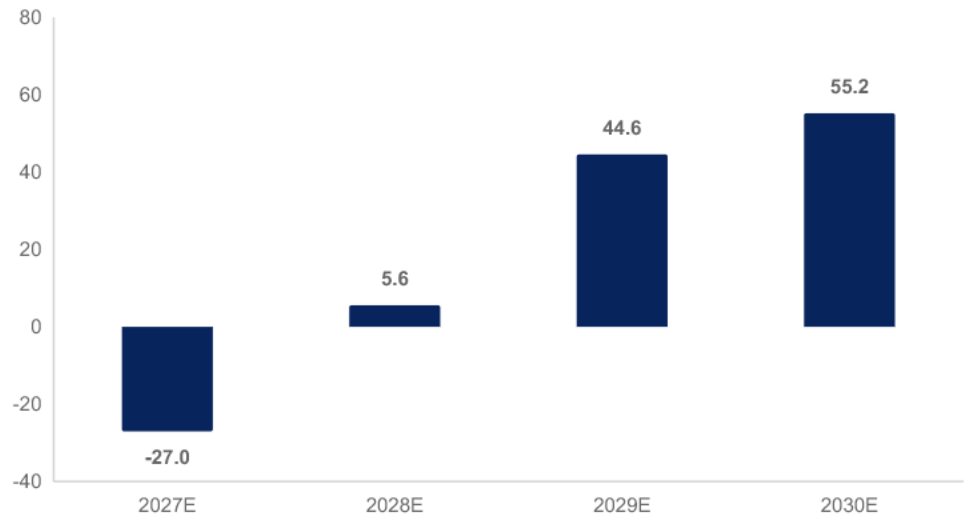
Target cash stays in the group. Preferred cancellation uses no cash. Illustrative goodwill is $8,428m; $1,000m of new intangibles amortises over 15 years.

Sources: S03, S09, S14, S15 | Model: Deal D31:D58

Integration costs delay the earnings benefit

Incremental benefits exclude the existing PepsiCo distribution relationship.

AFTER-TAX EARNINGS BENEFIT / USDm



USDm	2027E	2028E	2029E	2030E
Revenue synergy profit	5.4	14.9	25.8	27.4
Cost savings	9.4	25.4	42.9	45.3
Dis-synergy loss	-5.4	-3.0	0.0	0.0
Implementation cost	-45.0	-30.0	-10.0	0.0
After-tax earnings benefit	-27.0	5.6	44.6	55.2

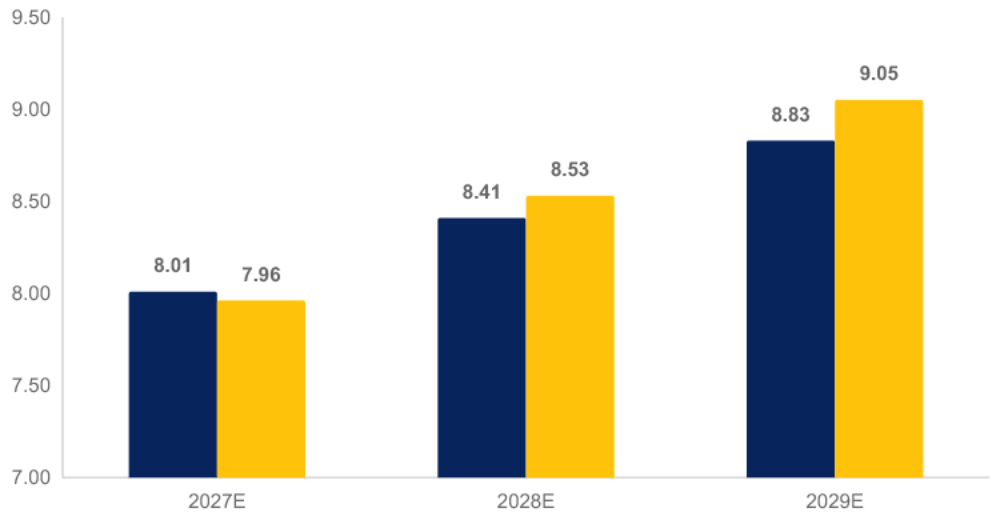
Net synergy value at close: $511m. About 92% comes from terminal value, making retention and durability central diligence questions.

Sources: S06, S07 | Model: Synergies J7:M32

EPS turns positive before the offer creates value

Funding mechanics can produce accretion despite a negative acquisition NPV.

NAVY: STANDALONE / YELLOW: PRO FORMA



Metric	2027E	2028E	2029E
Standalone EPS	$8.01	$8.41	$8.83
Pro forma EPS	$7.96	$8.53	$9.05
Accretion / (dilution)	-0.6%	1.4%	2.5%
Gross debt / EBITDA	3.03x	2.87x	2.72x
EBITDA / interest	8.97x	9.48x	10.01x

Debt and closing cash remain fixed in these leverage ratios. No full combined-company cash-flow or rating model is implied.

Sources: S08, S09 | Model: Accretion J7:L36; D43:D52

Only the upside case supports the illustrative price

All cases hold the $39.31 offer and 20 / 60 / 20 funding mix constant.

Scenario	DCF / share	FY2028 EPS	NPV, USDm	Walk-away
Base	$30.42	1.4%	-1,627	$32.85
Upside	$40.89	3.4%	1,347	$44.67
Downside + delay	$14.73	-1.5%	-6,047	$15.28
Zero gross synergies	$30.42	1.2%	-2,180	$30.65

Zero-synergy case retains implementation and disruption costs.
Live grids test price versus synergies, premium versus debt mix, financing rates, weaker EBIT and integration delay.

Sources: S03 | Model: Assumptions D3; Sensitivities; scenario recalculation

Execution risks can lower the price limit

Diligence must resolve contractual economics before a binding offer.

01	**Preferred and governance terms**	Confirm control settlement, process rights and standstill exceptions with counsel
02	**Pre-existing distribution contracts**	Value settlement and eliminate intercompany income without counting it twice
03	**Integration and brand retention**	Validate savings by function and ring-fence brand investment
04	**Capitalisation and purchase accounting**	Refresh awards, debt and cash; value intangibles and tax basis
05	**Forecast and financing execution**	Validate margin recovery, lender terms and rating capacity

Sources: S03, S06, S07, S09 | Model: ReadMe; Assumptions; Deal PPA

Retain the partnership

A premium bid requires a materially stronger cash-flow case.

$32.85

Base-case economic ceiling
4.4% above the unaffected price

$39.31

Reject the illustrative offer

$29.56–$31.20

Discussion range below market, unlikely to secure control

Proceed only with verified incremental synergies, satisfactory contract treatment and funding that preserves the economic price discipline.

The $54.02 EPS ceiling is not an acceptable bid on its own.

Sources: S03, S06, S07, S14 | Model: Dashboard; Accretion D43:D55